Americans' views of the economy change dramatically when the White House changes hands

Survey data since 2016 shows partisans swap views of the national economy starting the month of a presidential election, while the gap on their own finances is half as large and spending shows no break.

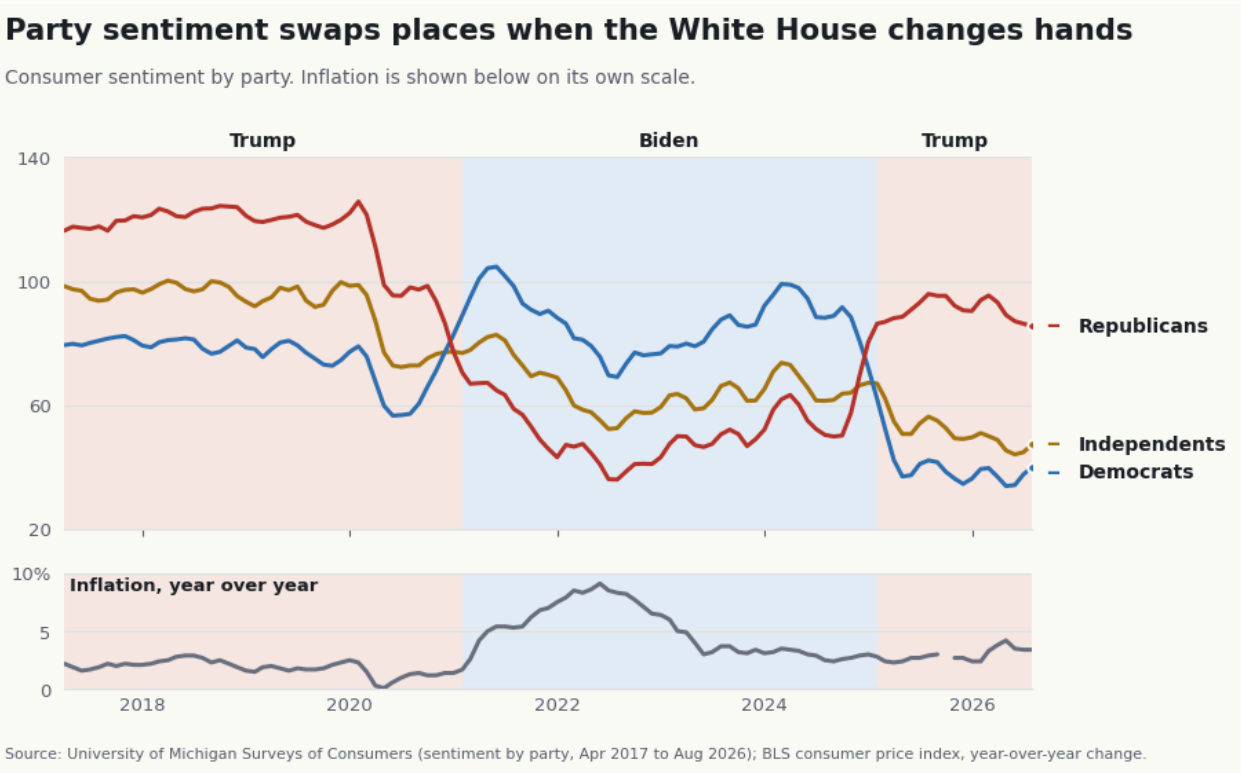
By: Audrey Hunsberger | October 2026 | Github Repository

In the fall of 2024, about 5 percent of Republicans told the Cooperative Election Study, a large annual survey run by a consortium of universities, that the national economy had gotten better over the past year. A year later, with Donald Trump back in the White House, 52 percent said so.

Democrats made the *exact* same change, but in reverse. In 2024, 52 percent of them said the economy had improved. By the fall of 2025, 5 percent did.

In the same timeframe, independents barely moved. About 12 percent said the economy was getting better in 2024, and 13 percent said so in 2025.

So, what changed in the hard numbers between 2024 and 2025? Not much. Consumer prices rose 2.4 percent over the year ending September 2024 and 3.0 percent over the year ending September 2025. Inflation-adjusted consumer spending kept growing at a steady pace through both years.



The University of Michigan's monthly consumer sentiment survey has reported results by party since 2017, and it shows a clear pattern: when the presidency changes hands, party lines cross. Republicans were the most optimistic consumers for all of Trump's first term, Democrats for all of Joe Biden's, and Republicans again during the second Trump administration.

This year, the distance between the parties has been the widest the series has recorded: through August 2026, Republicans' sentiment has averaged about 53 points above Democrats'. The gap peaked at 57 points in October 2025 and has narrowed since, to 45 in August. In annual averages, the gap ran between 37 and 43 points during Trump's first term, and about 33 to 36 points in the other direction under Biden.

While inflation is far from the only indicator of economic health, the bottom panel shows it as a rough yardstick: how much prices rose over the previous twelve months. Inflation climbed to 9.1 percent in June 2022 and has stayed between

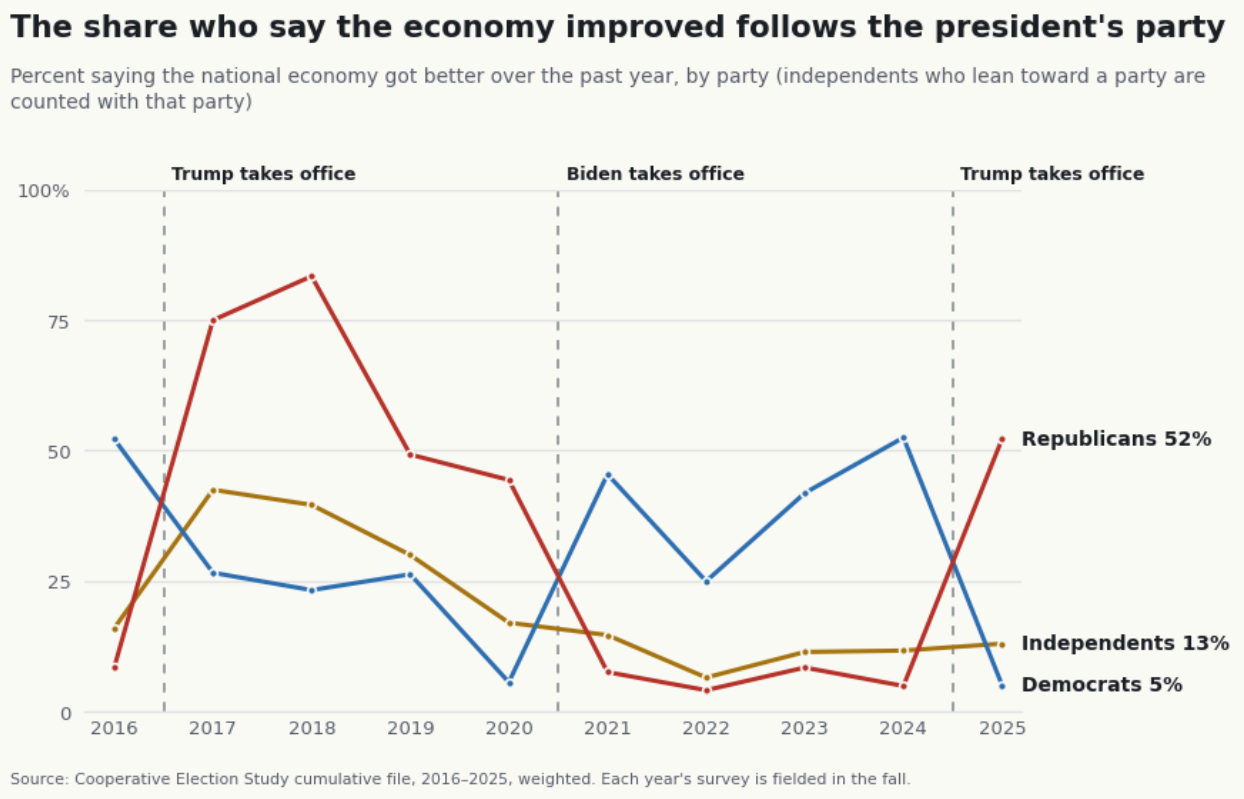
about 2 and 4 percent since the middle of 2023, briefly reaching 4.2 percent in May 2026. Still, the parties' views of the economy traded places.

Both parties do it, and by about the same amount

The previous chart suggests that both parties flip, but it can only say so much. So, I pooled about 384,000 Cooperative Election Study responses from 2016 through 2025 into one model. It compares people surveyed in the same year and asks how much more likely a person is to say the economy improved when their own party holds the White House.

The answer? About 40 percentage points—38 for Republicans, 42 for Democrats. The CES question asks about the past year, not the future, which makes the swing harder to explain away: what happened over the previous twelve months didn't change when the president did.

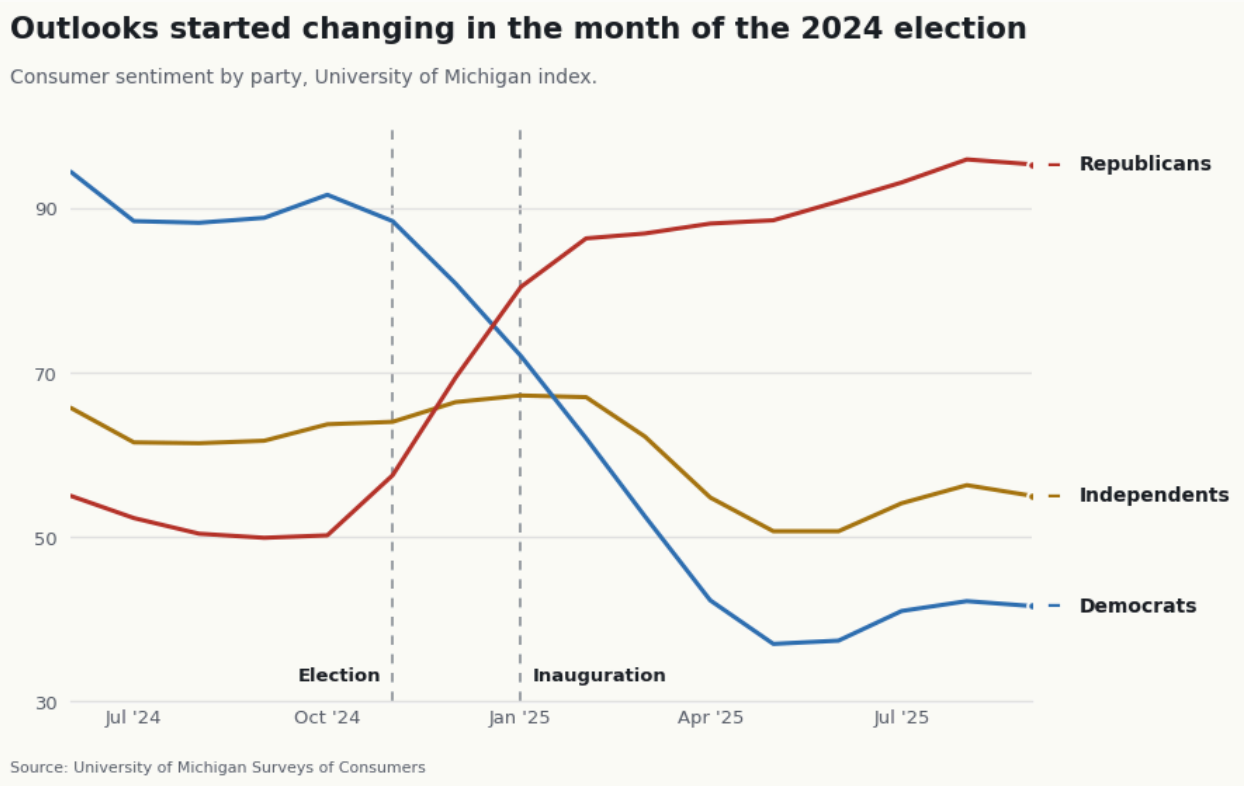
I ran the estimate several other ways: without survey weights, with "not sure" answers counted differently, with independents who lean toward a party counted as independents versus partisans, and without 2020 and 2021, when the COVID-19 pandemic scrambled everything. Every version landed between 39 and 42 points.



The flip starts before the inauguration

I expected opinions to change once the new president took office, but they started earlier. In hindsight, that makes sense: three of the five questions behind the Michigan index ask about the future, and the future changed the moment the winner was known. Michigan's own economists attributed the November shift to differing expectations about the incoming administration's policies.

Let’s zoom in on the 2024 election in particular.



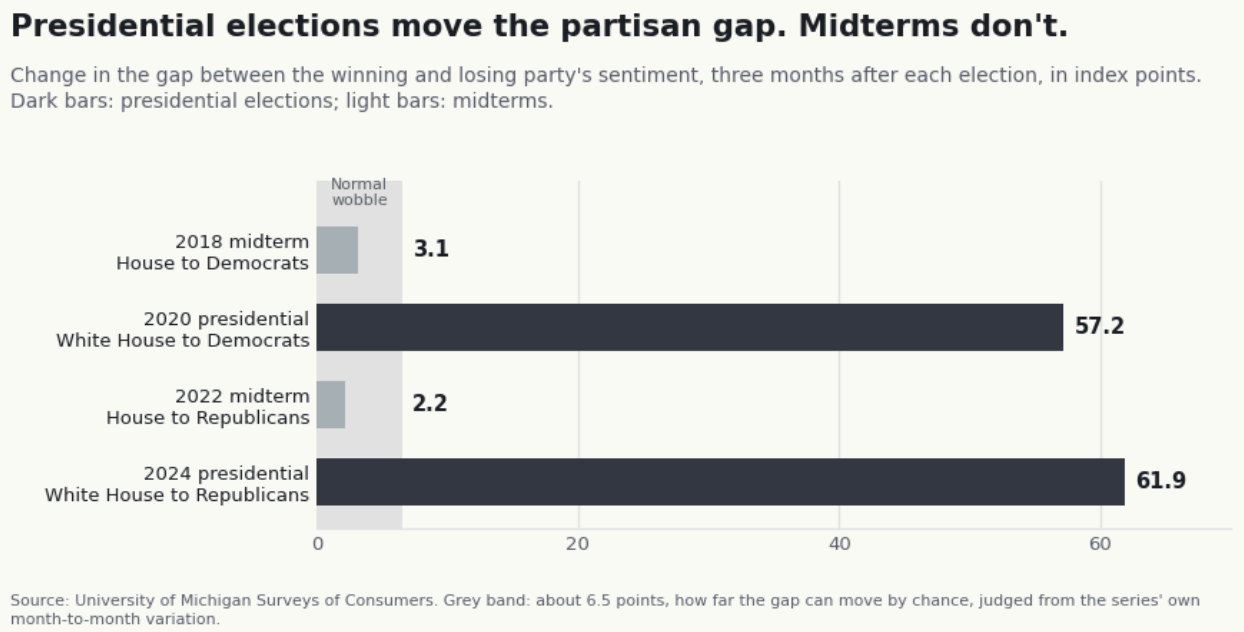
Sentiments began shifting in November 2024, the month of the presidential election. By the inauguration in January 2025, about 70 percent of Republicans' eventual climb had already happened, with the rest coming over the next six months. Democrats held steady through November and then began sliding, with about a third (35 percent) of their sharp fall happening by the inauguration, bottoming out at what was then a record low of 37 in May 2025 (they have since gone lower, to 34 in May 2026).

Not all of that spring slide is partisanship. It coincided with the administration's tariff announcements, and expectations moved with it: the median American expected prices to rise 2.6 percent over the coming year in November 2024 and 6.6 percent by May 2025. Independents fell too, from 67 in February to 51 in May. Democrats reacted most, but they were reacting to real news.

The 2020 election went similarly: by January 2021, Republicans had made 59 percent of their eventual drop and Democrats 56 percent of their rise.

Midterms barely register

If people were simply reacting to “their side” winning, one might expect control of Congress to count for something, too. It hardly does. After Democrats won the House in 2018, and after Republicans won it in 2022, the gap between the two parties’ sentiment moved by 2 to 3 points over the next three months, which is within the survey’s typical month-to-month wobble. After the 2020 and 2024 presidential elections, the gap moved by around 60 points.

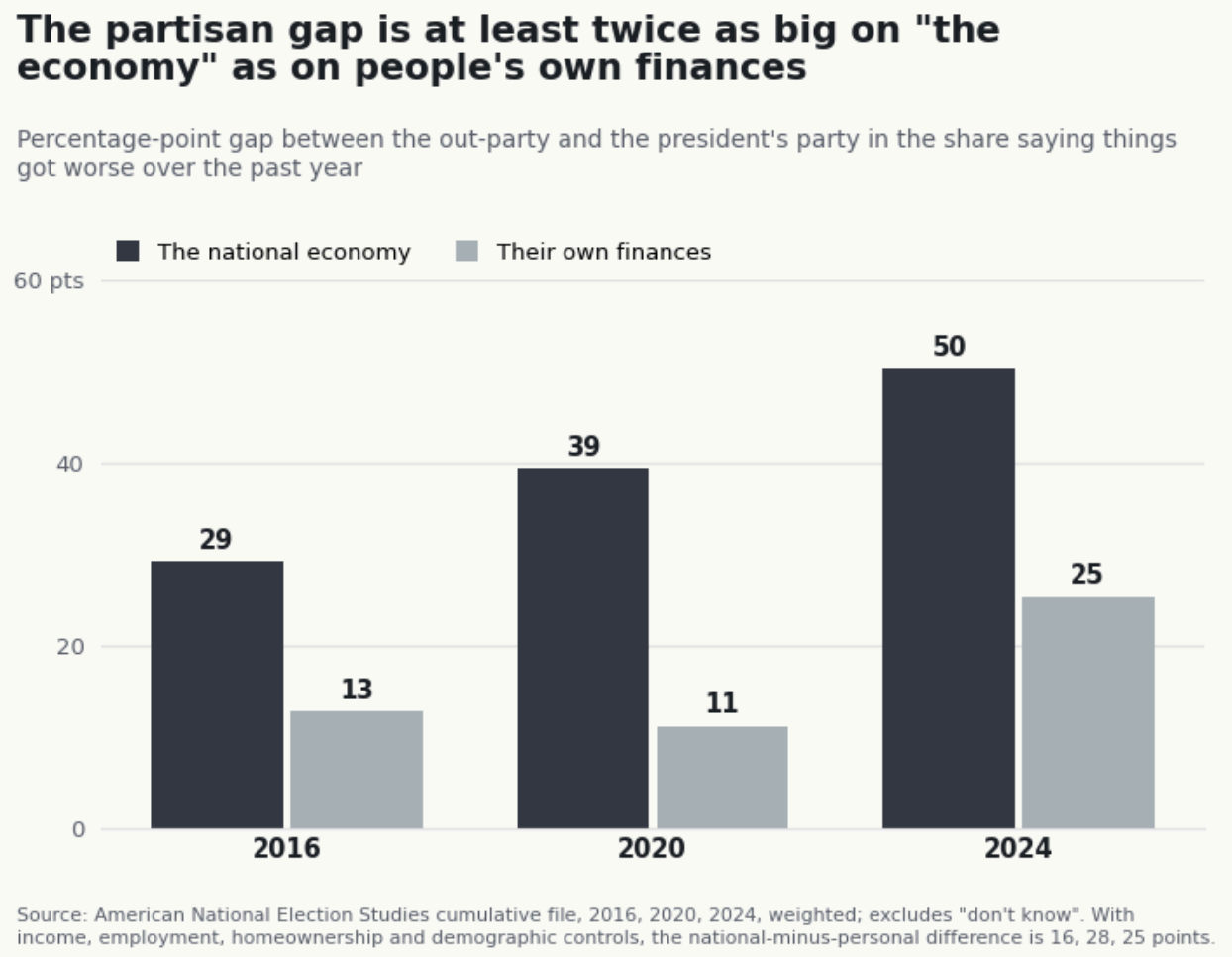


The simplest explanation is that Americans credit or blame the president, not Congress, for the economy. Awareness may play a part too: in Annenberg's 2024 civics survey, only 55 to 56 percent of adults could say which party controlled each chamber.

People are less partisan about their own wallets

The American National Election Studies (ANES) asks two questions in the same survey: whether the national economy has gotten better or worse over the past year, and whether the respondent's own family is financially better or worse off than a year ago.

Partisans disagree on both, but they disagree much more about the country than about themselves.

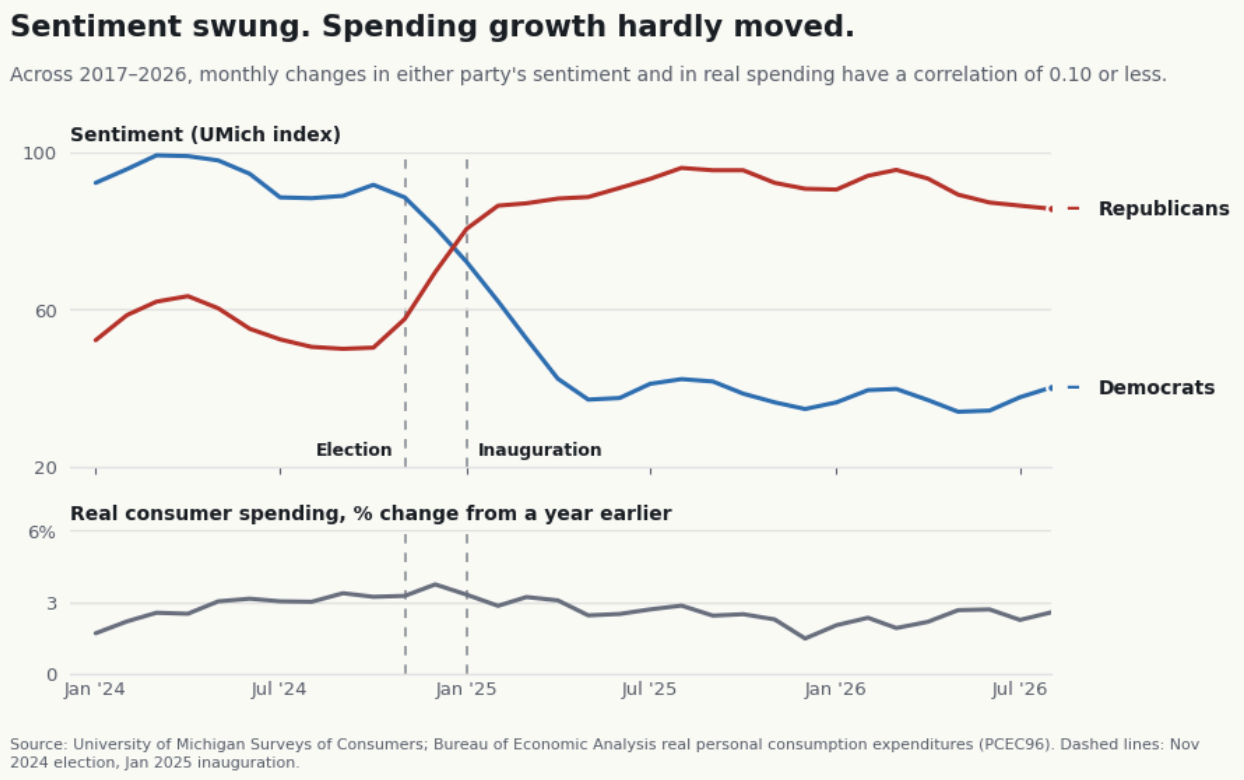


The obvious objection is that the parties have drifted apart in demographics such as income and occupation, so their finances may really differ. But even when

adding controls for income, employment, and homeownership, the gap still remains.

What people say versus what they spend

If Democrats felt that much worse about the economy in 2025, you might expect them to spend less, but national spending figures show no sign of a break. Inflation-adjusted consumer spending grew between about 2.4 and 3.7 percent a year through the whole transition, while Democrats' sentiment fell by half.



The same holds over the longer run: across more than nine years of monthly data, month-to-month changes in either party's sentiment have almost no relationship with month-to-month changes in spending.

There is a limit to what national totals can show, as they mix Republicans and Democrats together—they can't rule out one group cutting back while the other spends more. Answering that question requires spending data broken out by place or household, such as card transactions grouped by ZIP code and compared across places that lean Republican or Democratic. One 2023 analysis of partisan economics in *The Review of Economics and Statistics* (which used paid datasets from sources like Gallup that I could not access) used county-level data after the 2016 election and found that the partisan shift in expectations did not show up as a measurable shift in spending for either party.

What the numbers can (and can't) say

Put the pieces together, and the pattern is consistent. Americans are about 40 percentage points more likely to say the economy improved when their party controls the White House, even when comparing respondents surveyed in the same year. The shift starts at the election, not the inauguration. It barely responds to Congress. It is much smaller when people are asked about their own household. And it doesn't show up in national spending.

Still, the limits are worth stating:

- The national data shows no break in spending when Democrats' sentiment collapsed, but national totals can't say whether Democrats pulled back while Republicans spent more. The cited study found no shift in spending for either party before and after the 2016 election, but that is one election and one study.
- The data goes back to 2016, which only covers three presidential transitions.

What to make of it

Economic sentiment is partly an economic measure and partly a partisan one; however, the partisan swing is large relative to any economic change in these

years. That matters for anyone who reads an economic sentiment index like a forecast.

It also matters for how these surveys get covered. A headline that says confidence "plunged" or "surged" after an election is describing a swing that, on this evidence, is consistent with a partisan component that doesn't depend on economic conditions. Perhaps the more useful question is whether independents moved. Sometimes they do: in 2017 the share of CES independents saying the economy had improved jumped from 16 to 43 percent, and UMich independents' sentiment fell 16 points in the spring of 2025. Those moves, more than the partisan swings, are the signal worth watching.

Methodology

DATA

- **Cooperative Election Study** cumulative file, 2016–2025: 383,533 respondents who answered the economy question in the main model. CES is an online opt-in panel run by YouGov and weighted to national benchmarks.
- **American National Election Studies** cumulative file, 2016, 2020 and 2024: about 3,700 to 7,300 respondents per year in the main comparison. ANES uses probability samples.
- **Pew Research Center** economy ratings by party, 28 polls since November 2016. Pew tells the same story: between its last poll before the 2024 election (September 2024) and its April 2025 poll, about three months after the inauguration, Republicans rating the economy excellent or good went from 10 to 36 percent and Democrats from 41 to 11 percent. By late September 2025 it was 44 and 10.
- **University of Michigan Surveys of Consumers:** sentiment by party (monthly since April 2017) and year-ahead price expectations.
- **Economic series:** consumer price index (BLS) and real personal consumption expenditures (BEA, via FRED).

METHODS

The 40-point figure comes from a weighted linear probability model with year and state fixed effects. Because every respondent in a given year faces the same

national economy, the year effects absorb it, and the party effect is estimated from changes in who holds the White House. Because the premium is identified from only three changes of party, the more useful measure of uncertainty is how much it varies between them.

Swing timing uses each party's average for July to September before the election as the baseline and six months after the inauguration as the end point. Intervals come from a bootstrap that resamples the survey's own month-to-month noise. The 70 percent figure for Republicans in 2024–25 has an interval of 60 to 81 percent. The finding holds under all nine combinations of baseline and end point I tested.

I tested 74 alternate versions of the two headline results (the 40-point effect and the national-versus-personal gap). All 74 point in the same direction as the main estimate.

A note on interpretation: The 40-point estimate describes an association, not a precisely identified causal effect of presidential control. Although the model draws on nearly 384,000 survey responses, the data covers only three presidential transitions, limiting how confidently the pattern can be generalized. Year fixed effects account for economic conditions shared by respondents in a given year but cannot rule out differences in how partisans experience or interpret those conditions. Likewise, clustering standard errors by state does not fully capture uncertainty associated with nationwide political changes, so the reported confidence interval should be interpreted cautiously. The strongest evidence is the repeated pattern of partisan reversals, visible across several independent surveys, rather than the precise magnitude of a causal effect. *This was a part-time project, and I'd treat these as the first things to address in a longer version.*

Data and code:
https://github.com/audreyhunsberger/public_opinion_economy_case_study